Stanley Invest

Investment Alpha Framework

Story Score · 10x Growth Score · Price Score · Decision Matrix

VERSION	COMPONENTS
v8.1 — April 2026	**Story Score · 10x Growth Score · Price Score**

v8.1 — Changelog

Location	Change	Rationale
Story — Criterion 11	Renamed: Margin Quality & Trajectory. Scoring bands updated to explicitly reward improving margin direction, not just current level vs. sector median.	A company at 49% GM improving 2–3pts per quarter is structurally more interesting than one stable at 62%. Trajectory predicts future margin better than today's snapshot.
10x Growth — GX7	Market Mispricing: weight reduced 10→ 5 pts.	Overlaps significantly with Price Score dislocation criteria. Freeing 5pts for GX9 expansion reduces double-counting.
10x Growth — GX8	Renamed: Revenue CAGR & Pipeline Signal. Bands restructured into two sub-components: trailing CAGR (0–5) + pipeline evidence (0–5).	Low trailing CAGR in a pre-inflection company penalised the wrong dimension. The Planet Labs and Beta Technologies cases showed that contracted pipeline is a better predictor than trailing growth in transition-phase companies.
10x Growth — GX9	Renamed: Inflection Catalyst Clarity. Weight expanded 5→10 pts.	The most asymmetric investments hinge on a specific, identifiable catalyst. Giving this criterion its proper weight forces the analyst to clearly articulate — and score honestly — what must happen and how certain it is.
Price Score — Criterion 3	Split into 3a (Asset-Based Valuation Floor, 5pts) + 3b (Cash as % of Market Cap — Downside Floor, 5pts). Total unchanged at 10pts.	Explicit cash/market cap scoring captures asymmetry protection: a company with 50%+ of its market cap in cash has a structurally different risk profile than one without. This was invisible in the prior framework.

Philosophy: The Three Lenses

A great business at any price is not a great investment. The Story Score answers ‘Is this a great business?’ — a question whose answer changes slowly, perhaps once or twice a year if something material shifts. The Price Score answers ‘Is the market offering a temporary discount?’ — a question whose answer changes constantly. Separating them prevents two classic traps: paying too much for a company you love, and buying something cheap that deserves to be cheap.

An investment signal is only triggered when both scores align. A strong Story Score is permission to pay attention. A strong Price Score signals the moment to act. All misunderstood companies are mispriced — but not all mispriced companies are misunderstood. Price dislocation also comes from panic, macro noise, sector rotation, and size neglect. The Price Score captures all of these.

The 10x Growth Score is a separate instrument — a deep-dive tool run only on companies where the Story Score is strong and the Growth Trajectory pillar signals a genuine ceiling and foundation. Its purpose is to evaluate the probability of a 10x stock price over 5–10 years. It does not modify the primary Story × Price investment decision. It validates the conviction and scale of a growth position, and forces structured thinking about what the market is currently underpricing.

The score is an indication, not a verdict. It tells you where to focus research time, not what to buy. The written notes underneath each criterion are the investment thesis. The number is just the label on top. A company scoring 78 with a mediocre moat and strong financials is a completely different investment from a 78 with an exceptional moat and weak financials — the number cannot tell you that. The notes can.

PART 0 — THE INVESTMENT CASE

Write the Investment Case after completing all three scores — Story, 10x Growth, and Price. It is a one-page management summary of the investment thesis: the narrative that a reader can absorb in two minutes to understand why this company exists, what it is building, and why now is the right moment. The scored analysis lives in Parts I–IV. The Investment Case is the distillation.

Discipline: keep it to one page. If it runs longer, the thesis is not yet clear enough. Every sentence should be specific to this company — nothing that could apply to any other investment.

The Investment Case for [Company Name]

1. MISSION

State the mission in one sentence. It must be specific enough to exclude other companies. Connect it to the Mission Signal recorded before the Story Score. If the mission is STRONG, make it the opening statement of conviction. If UNCLEAR or WEAK, note what the company does instead of what it stands for.

2. TEAM & DRIVE

Who is behind this company and what drives them? Name the key leaders, their prior outcomes, and the evidence that the mission is personal — not professional. What would make this team stay when it gets hard?

3. PRODUCTS, SERVICES & GOALS

What does the company sell? Name the core product lines and the problem each solves. State the public targets management has committed to — not analyst estimates, but the company's own declared goals. These become the yardstick for the Say-Do Ratio in future re-scorings.

4. KEY METRICS IN 2–3 YEARS

Where do the three or four most important metrics stand today, and where should they be in 2–3 years if the thesis is playing out? Be specific: revenue, margin, FCF, or the key operating metric for this business model. Avoid ranges — pick a number and own it. This forces clarity on the growth bridge.

5. PRICE CATALYSTS

Name two or three specific events that could re-rate the stock over the next 12–24 months. Each catalyst should be named, time-bound, and directly connected to a valuation driver. These must be specific to this company — not macro events or sector rotations. Align with GX9 (Inflection Catalyst Clarity) from the 10x Score.

6. ENTRY PRICE ANCHOR

At what price does the thesis become compelling? State the current price, the GREEN band entry price (from Part V), and the valuation basis — the specific metric (FCF yield, EV/Revenue-to-CAGR, P/FCF) that makes the entry price defensible. The Investment Case is only actionable if it names a price.

7. THESIS KILLER

One sentence only. The single assumption that, if proven wrong, breaks the entire investment case — not a risk factor, but the load-bearing wall. If this assumption fails, exit regardless of price. Formulating this forces the analyst to identify what they are really betting on.

8. INVESTMENT HYPOTHESIS

Two to three sentences. Why this company, why now, and what the market is missing. Write it as if explaining to someone who does not follow markets — no jargon, no scores. If you cannot explain the hypothesis in plain language, the conviction is not yet fully formed.

COMPACT SUMMARY FORMAT — For Wiki Pages & Report Cover Pages

After completing the full 8-section Investment Case above, distil it into the three-field compact format below. This summary appears at the top of every company wiki page (wiki/companies/TICKER.md) and on the cover page of every

company analysis report. It is the two-sentence version of the full Investment Case — written for rapid recall, not for first-time analysis. Complete the full Part 0 first; the compact summary is derived from it, never written before it.

MISSION — One sentence. Derived from section 1 (Mission) + section 3 (Products). Must be specific enough to exclude every other company. If the Mission Signal is STRONG, write with conviction. If UNCLEAR or WEAK, describe what the company does rather than what it stands for.

TEAM — One sentence. Derived from section 2 (Team & Drive). Name the key decision-makers, their most relevant prior outcome, and the one execution risk that could break the team's narrative. Do not repeat the Mission Signal — this line is for people, not purpose.

THESIS KILLER — One sentence only. Copied verbatim from section 7 (Thesis Killer). The single load-bearing assumption that, if disproven, invalidates the entire case regardless of price. It must be falsifiable: a competitor action, a regulatory outcome, a technology shift, or a financial event with a measurable threshold.

Example (wiki/companies/SENS.md): Mission: Eliminate the daily burden of diabetes management through a once-yearly implantable CGM. Team: Founder-led CEO (Goodnow, Ph.D., 20+ yrs); commercial execution at scale unproven (direct model began Jan 2026). Thesis Killer: Abbott or Dexcom launches a 180-day+ wearable CGM with minimal insertion burden, eliminating Eversense's format advantage.

PART I — THE STORY SCORE (0–100)

Cadence: Run quarterly, or on any material event — leadership change, competitor breakthrough, major product launch.

Role & Mindset: You are a First Principles Analyst. You reject surface-level arguments. You look for fundamental truths regardless of industry. The Prime Directive: never say 'competitors have more money.' Always ask what structural constraint — technical debt, cannibalization, physics, time, or irreplaceable relationships — prevents the incumbent from copying this immediately.

Universal principle: all criteria are evaluated relative to the company's own sector and geography. A 25% gross margin can be exceptional in distribution; a 55% gross margin can be mediocre in software. The framework measures quality within context, not against a fixed absolute benchmark.

MISSION SIGNAL — Qualitative Observation

Before scoring the five pillars, record a qualitative mission signal. This observation carries no points and does not modify the Story Score. Its purpose is to calibrate the analyst's judgment across the criteria that mission strength naturally influences: Narrative Consistency (Criterion 6), Management Quality (Criterion 8), and Moat Trajectory (Criterion B). A weak mission signal should make those criteria harder to score highly — not through a rule, but through honest analytical pressure.

STRONG — The mission names a specific outcome that is not interchangeable with any competitor's statement. Evidence exists that it shapes hiring, product, and capital decisions beyond investor presentations. The problem being solved is structural, growing, and durable over a 10-year horizon. Examples: "eliminate aviation emissions," "make Earth's change visible," "empower Southeast Asia's economies."

UNCLEAR — The mission exists but is generic, inconsistently communicated, or not visibly reflected in operational decisions. The problem being solved is real but the company's unique role in solving it is not well articulated. Compensate with higher scrutiny on Narrative Consistency and Management Alignment.

WEAK — The mission is absent, purely financial, or interchangeable with any other company in the sector. No evidence it influences decisions beyond compliance. Weight Moat and Business Model Quality more heavily; be sceptical of management's long-term retention narrative. Avoid 10x conviction sizing regardless of other scores.

Record your signal (STRONG / UNCLEAR / WEAK) and one sentence of evidence before proceeding to the five pillars.

PILLAR I — THE MOAT (25 points)

The 'Why They Can't Copy' Test, evaluated across two dimensions: the strength of the moat today, and the direction in which it is moving. Both are equally important — a static defensive moat in a mature oligopoly is fundamentally different from a nascent moat that compounds automatically with time.

Criterion	Max Pts	Scoring Guidance
A. Moat Quality Today	**15**	Score the structural strength of the competitive barrier as it exists right now. 13–15 pts — Structural and irreplicable: a moat built from network effects, proprietary data that compounds with time, physical infrastructure or regulatory approvals that took

		decades to accumulate, or a mechanism that would directly cannibalise the dominant incumbent's core revenue if they attempted to replicate it. Even $10B and 3 years could not reproduce this asset. 9–12 pts — Real advantage, not yet fully entrenched: a credible first-mover position, meaningful switching costs in critical customer workflows, or regulatory certification in a protected procurement category. Replication is possible but requires years of sustained effort and significant disruption. 5–8 pts — Nascent advantage with credible logic: the first approved product in a new mechanism class, an early data or network accumulation before the flywheel is self-sustaining, or a government certification that competitors have not yet obtained. The moat is real but has not yet been stress-tested by a well-funded competitive response. 0–4 pts — Commodity or easily contestable: the advantage is replicable as a product update, a price cut, or a single hiring decision. No structural barrier exists.
B. Moat Trajectory	**10**	Score where the moat is heading over the next 3–5 years, independently of its current strength. A building moat in an early-stage company can represent greater long-run value than an entrenched but static moat in a mature market. 9–10 pts — Compounding automatically: the moat strengthens by itself with each passing month. Data accumulates without incremental cost, network effects scale with each new user, switching costs escalate with every additional year of customer tenure, or temporal advantages (irreplaceable historical archives, years of actuarial data) deepen

		continuously. The lead grows without active effort. 6–8 pts — Stable and actively defended: no erosion, but no compounding either. The competitive position is maintained through continued investment and strong execution. Oligopolistic markets with rational competition and high regulatory barriers typically score here. 3–5 pts — Uncertain trajectory: competitive responses are active and the outcome is unclear. The moat may be building or eroding — the evidence does not yet resolve the question. 0–2 pts — Eroding: pricing power declining, competitors visibly closing the technical or operational gap, or structural barriers weakening due to technology change or regulatory reform. The moat is not yet gone, but the direction is negative.

PILLAR II — THE MISMATCH (20 points)

The 'Market Error' Test. Find the cognitive mistake the market is making about this business.

Criterion	Max Pts	Scoring Guidance
4. The Category Error	**8**	Is the market valuing this company using the wrong analytical lens or the wrong peer group? 8 pts — Clear, demonstrable mismatch: a platform priced as a product company, a recurring-revenue business priced on spot earnings, a monopoly priced as a competitive commodity. 4 pts — Partial: the market understands one dimension correctly but misprices another. 0 pts — Market has the correct analytical framework; disagreement is on magnitude, not kind.
5. Hidden Optionality	**8**	Is there a specific asset, initiative, or capability (currently contributing low or zero revenue) that targets a massive adjacent

		market and is either ignored or discounted entirely by the current price? 8 pts — Specific, named optionality with a credible addressable market and near-term proof points. 4 pts — Vague or early-stage optionality referenced in filings but without hard milestones. 0 pts — No meaningful optionality beyond the existing business.
6. Narrative Consistency	**4**	Has management's story — the core investment thesis, the key metrics they emphasise, the product roadmap direction — remained stable over the last 2 years without material pivots? 4 pts — Same thesis, same metrics, same roadmap direction. Management is executing, not repositioning. 2 pts — Minor adjustments around a stable core; the destination is unchanged. 0 pts — Material story change, re-branding of the core thesis, or new leadership with a new narrative.

PILLAR III — THE TEAM (20 points)

The 'Execution Truth' Test. Judge by deeds, not decks. All benchmarks are sector-relative.

Criterion	Max Pts	Scoring Guidance
7. The Say-Do Ratio	**8**	Time-travel check: find the management guidance, roadmap, and key promises from exactly 2 years ago. Compare them to today's reality. This is the single most revealing test of management quality — it cannot be gamed in retrospect. 8 pts — Beat: delivered more than promised on the metrics that matter most to the thesis. 4 pts — Met: delivered roughly as guided; no material misses on core targets. 0 pts — Missed, or retroactively changed the goalposts and the metrics being reported.
8. Management Quality & Alignment	**8**	Two equally valid archetypes — score whichever applies. Both tracks are scored on the same three observable components:

		Track A — Founder-Led: Original founder(s) still in an operational role (CEO/CTO/CPO). Track B — Operator-Led: Professional manager with >5 years in role, ideally promoted from within. (i) Prior Outcomes: What did this leader demonstrably build, grow, or solve before this company? (ii) Talent Attraction: Are people with real options actively choosing to join this company? (iii) Retention & Culture: Do strong people stay? Look for meaningful personal ownership. 8 pts — All three components strong. 4 pts — Two of three components strong; one is thin or ambiguous. 0 pts — One or fewer components met.
9. Capital Allocation Quality	**4**	How does management deploy the capital the business generates? The best allocators reinvest at high rates of return, avoid value-destructive acquisitions, and return capital only when internal opportunities are exhausted or the stock is clearly undervalued. 4 pts — Consistent track record of high-return reinvestment. No history of empire-building M&A. 2 pts — Reasonable but mixed: one questionable acquisition, moderate dilution, or inconsistent buyback discipline. 0 pts — Value-destructive M&A, excessive equity issuance, or poor cash discipline.

PILLAR IV — BUSINESS MODEL QUALITY (15 points)

The 'Efficiency & Durability' Test. All metrics are evaluated relative to sector median — not against universal thresholds.

Criterion	Max Pts	Scoring Guidance
10. Revenue Durability	**6**	How captive is this revenue, regardless of its technical structure? Durability comes from long-term contracts, high switching costs, consumable dependency, regulatory mandates, or subscription relationships — not just whether revenue is

		technically ‘recurring.’ 6 pts — Highly captive: multi-year contracts, embedded workflows, or structural lock-in that makes switching genuinely costly in time or risk. 3 pts — Moderate durability: some captive revenue mixed with transactional. 0 pts — Low durability: primarily spot, project-based, or easily substitutable revenue.
11. Margin Quality & Trajectory	**5**	Two equally-weighted dimensions: (A) current gross margin vs. sector median, and (B) direction and pace of change over the last 3–4 quarters. Trajectory is scored independently of current level — a company improving from 40% to 50% can outscore one stable at 62% if the trajectory is steeper and the driver is structural. Quality (A): Above sector median → strong pricing power or structurally superior model. Below sector median → cost disadvantage or earlier stage; must be offset by Trajectory. Trajectory (B): Expanding >3pts per year with identified structural driver (product mix shift, scale leverage, pricing power improvement, higher-margin segment growing faster) → high. Expanding 1–2pts per year or stable at above-median level → moderate. Flat at below-median, or declining for any reason → low. 5 pts — Above sector median AND expanding (A strong + B strong). 4 pts — Below median but expanding >3pts per year with clear structural driver (B strong overrides A): the future margin picture is more important than today’s. 2 pts — Above median but flat, OR below median expanding 1–2pts per year. 0 pts — Below sector median AND

		flat or declining. No trajectory signal.
12. Reinvestment Quality	**4**	Is the company deploying capital at returns that exceed its cost of capital, and is the evidence for this visible in ROIC, unit economics, or cohort analysis? 4 pts — ROIC demonstrably above WACC with clear evidence from unit economics or cohort data. 2 pts — Returns above WACC by a modest margin, or evidence is directional but not conclusive. 0 pts — ROIC at or below WACC, or no credible evidence of return on invested capital.

PILLAR V — GROWTH TRAJECTORY (20 points)

The 'Ceiling & Foundation' Test. Does the growth runway justify long-term compounding?

Criterion	Max Pts	Scoring Guidance
13. TAM & Market Growth Rate	**8**	How large is the total addressable market, and is it expanding? A large TAM in a growing market is a necessary but not sufficient condition for a long-term compounder. 8 pts — TAM >$50B, growing at >10% CAGR, and the company is capturing a rising share. 4 pts — TAM $10–50B or growing 5–10%, OR penetration is very early with clear catalysts to expand the served market. 0 pts — TAM <$10B or declining; ceiling is visible and limits long-term compounding.
14. Market Penetration Trajectory	**7**	What is the current penetration of the addressable market, and is it accelerating? Low penetration in a large market is only valuable if there is clear evidence that penetration is increasing. 7 pts — Current penetration <20% of TAM AND growth rate is accelerating (not just positive). 4 pts — Penetration 20–50% but with clear expansion into adjacent geographies or segments. 0 pts — Penetration >50% of core TAM with no clear adjacent market expansion pathway.
15. Near-Term Catalysts (within	**5**	Are there specific, named, time-

18 months)		bound events within the next 18 months that could materially accelerate revenue, expand the market, or trigger a re-rating? 5 pts — Two or more specific named catalysts with clear timelines and measurable outcomes. 2 pts — One clear catalyst, or multiple vague catalysts without defined timelines. 0 pts — No identifiable near-term catalysts; growth is steady-state with no acceleration trigger.

Story Score Signal Bands

Score Range	Band	Implication
75 – 100	**GREEN**	Strong, durable business with a real moat and execution track record. Eligible for full framework. Proceed to Price Score.
50 – 74	**AMBER**	Interesting but unresolved risks. Partial framework signal only. Resolve the weak pillars before committing capital.
Below 50	**RED**	Fundamental concerns dominate. Do not use Price Score. No investment action.

PART II — THE 10x GROWTH SCORE (0–100)

Cadence: Run once per year on genuine 10x candidates — not required for all positions. Only meaningful when the Story Score is GREEN (75+) and the Growth Trajectory pillar (Pillar V) signals a genuine ceiling and foundation. The instrument evaluates whether a company has a realistic, evidenced path to 10x its stock price over 5–10 years.

The 10x Growth Score is a standalone deep-dive tool. It does not modify the Story × Price investment decision. A high 10x Growth Score on a weak-story company is not an investment case. It is a conviction multiplier: it tells you how large to size a position when the primary signal is already GREEN × GREEN.

Pre-Qualification Gates

Before scoring, check three gates. If any fail, do not run the 10x Growth Score.
Gate 1 — Story Score ≥75 (GREEN): A weak story cannot produce a durable 10x.
Gate 2 — TAM ceiling large enough: A company cannot 10x if it already sells to 80% of its market. The ceiling must be large enough and growing fast enough to create the conditions for a 10x.
Gate 3 — No structural capital risk: If the company faces existential funding or debt risk (<12 months runway with no clear refinancing path), the 10x Growth Score = 0.

Criterion	Max Pts	Scoring Guidance
GX1. TAM Scale (max 15)	**15**	Is there a ceiling large enough for a 10x? Score the combination of: (1) absolute TAM size, (2) TAM growth rate CAGR, and (3) company's current position relative to that ceiling. 15 pts — TAM >$100B, growing >15% CAGR, company at <5% penetration. 10 pts — TAM $30–$100B or 10–15% CAGR, or penetration 5–15%. 5 pts — TAM $10–$30B or 5–10% CAGR; real but 10x requires near-perfect execution. 0 pts — TAM <$10B or penetration >30%; insufficient ceiling for a 10x.
GX2. Market Penetration (max 10)	**10**	How much of the TAM remains uncaptured, and is there evidence of accelerating penetration? 10 pts — <10% penetration of a large, growing TAM, with evidence of accelerating capture. 7 pts — 10–25% penetration but with clear expansion into adjacent segments or geographies. 3 pts — 25–40% penetration; meaningful runway but concentration risk rising. 0 pts — >40% penetration; ceiling approaching. 10x still possible only via new markets.
GX3. Foundation Quality (max	**15**	10x companies are not built

15)		overnight. The foundation scores: (1) technology or asset moat depth, (2) financial resilience (runway, FCF trajectory), and (3) customer quality. 15 pts — Deep technical or asset moat, 2+ years runway or FCF positive, reference-quality customers. 10 pts — Strong on two of three components; third is in progress. 5 pts — Strong on one component; others are early-stage or thin. 0 pts — Foundation is weak on all three components.
GX4. Foundation Defensibility (max 10)	**10**	Will the foundation remain defensible long enough for the 10x compounding to complete? Score on: network effects, data flywheels, switching costs, regulatory moats, and temporal advantages (time-based moats that strengthen automatically). 10 pts — Foundation strengthens automatically over time (data compounds, network scales, switching costs escalate); lead grows with every passing month. 7 pts — Defensible for 3–5 years before serious competitive threats emerge. 3 pts — Defensible for 1–2 years; replication is capital-intensive but possible. 0 pts — Foundation can be replicated within 12–18 months by a well-funded competitor.
GX5. Near-Term Catalysts ≤18mo (max 15)	**15**	Are there specific, named, time-bound catalysts within 18 months that could materially re-rate the stock toward the 10x scenario? 15 pts — Two or more specific named catalysts (contract signings, product launches, regulatory approvals) with clear timelines and measurable outcomes. 10 pts — One major specific catalyst with a clear timeline. 5 pts — Identifiable catalysts but with timing uncertainty or execution risk. 0 pts — No named near-term catalysts; re-rating depends on long-run fundamental compounding alone.

GX6. Mid-Term Catalysts 18–36mo (max 10)	**10**	What is the bridge from current revenue to 10x-compatible scale? Score the quality of the growth bridge between Year 1 catalysts and the full 10x scenario. 10 pts — Clear, sequential growth bridges identified; each stage unlocks the next. 7 pts — Bridge is logical but contingent on one or two external factors (regulatory, partnership). 3 pts — Bridge identified but execution is highly uncertain or capital-constrained. 0 pts — No credible bridge; the 10x scenario requires a step-change that cannot be mapped.
GX7. Market Mispricing (max 5)	**5**	The market will not reprice a stock 10x simply because a company is growing fast. It will reprice when it recognises a fundamental mispricing. Score the demonstrability of the gap. Note: detailed price dislocation is captured in the Price Score — this criterion focuses on the qualitative narrative error, not the technical price position. 5 pts — Mispricing is demonstrable and quantifiable: specific comparable re-ratings, visible consensus error, or a narrative that is provably and specifically wrong. 3 pts — Mispricing is directionally clear but not yet demonstrable with hard data. 0 pts — Mispricing is an opinion; the market may have the right framework, or no clear mispricing exists.
GX8. Revenue CAGR & Pipeline Signal (max 10)	**10**	Two sub-components scored separately, each 0–5 pts (total 10). Neither sub-component is pre-requisite for the other — a company can score 0 on trailing CAGR and 5 on pipeline and still achieve a strong GX8. GX8a — Trailing Revenue CAGR (0–5 pts): A 10x stock over 7 years requires ~38% annualised return; over 10 years ~26%. Revenue CAGR is the operating engine. Score against the 26% threshold as the

		minimum viable trailing rate. 5 pts — 3-year revenue CAGR >40%: well above the 10x-compatible threshold. 4 pts — CAGR 26–40%: in the 10x-compatible range. 2 pts — CAGR 10–25%: below threshold but positive; transition-phase companies score here. 0 pts — CAGR <10%: materially below threshold. 10x equity requires multiple expansion alone. GX8b — Revenue Catalyst Pipeline (0–5 pts): For companies in transition phases (pre-commercialisation, pre-certification, product-cycle inflection), the forward pipeline is more predictive than trailing CAGR. Score only on concrete, verifiable evidence — not management aspiration. 5 pts — Specific contracted backlog or binding orders >2x trailing annual revenue, OR a regulatory/certification milestone with confirmed date that directly triggers delivery revenue (e.g. FAA type cert, FDA approval, government contract award). Pipeline is legally or regulatorily bound. 3 pts — Named pipeline with identified customers and confirmed timelines, but not yet contractually binding. Management has given specific guidance with measurable targets. 1 pt — Pipeline referenced in filings or calls but without specific customers, timelines, or binding commitments. Directionally credible but unverified. 0 pts — No identifiable pipeline beyond current run-rate. Trailing CAGR is the only signal.
GX9. Inflection Catalyst Clarity (max 10)	**10**	The most asymmetric investments are defined by a specific, identifiable event that the market has not yet priced in. This criterion forces the analyst to name the catalyst, assess its timing, and honestly score its certainty. Vague catalysts score low regardless of potential magnitude.

		Three dimensions scored together: (1) Specificity: Is the catalyst named and concrete (regulatory approval, product launch date, contract announcement) or vague (growing adoption, improving sentiment)? (2) Timing: Is it within 12 months, 12–36 months, or beyond 36 months? (3) Binding nature: Is it contractually, regulatorily, or commercially committed — or is it dependent on future decisions by third parties? 10 pts — Named, specific catalyst within 12 months, legally or regulatorily triggered (e.g. delivery schedule upon FAA cert, revenue upon contract start date, product launch with confirmed customers). The event, if it happens, directly and materially changes the revenue trajectory. Certainty of trigger: high. 7 pts — Named catalyst within 12–24 months, dependent on one external decision (regulatory body, customer procurement cycle) but well-advanced in the process. Specific milestones already achieved on the path to the main event. 4 pts — Catalyst identified, timeline 24–36 months, or catalyst is clear but depends on multiple external decisions. OR: catalyst is within 12 months but the triggering mechanism is management-guided rather than contractually fixed. 1 pt — Catalyst is conceptually credible but vague, long-dated (>36 months), or requires a chain of events each individually uncertain. 0 pts — No identifiable catalyst. Re-rating depends on steady-state fundamental compounding alone, with no specific inflection event mapped.

10x Growth Score Signal Bands

Score Range	Band	Implication
80 – 100	**HIGH CONVICTION**	All pillars strong. TAM, foundation, catalysts, and mispricing all aligned. Maximum allocation when Story × Price signal is GREEN × GREEN.
60 – 79	**STRONG**	Compelling 10x case with one or two weaker pillars. Standard allocation. Wait for one near-term catalyst to confirm before maximum sizing.
40 – 59	**EARLY**	10x potential is real but foundations or catalysts are not yet validated. Size conservatively; revisit in 6 months.
0 – 39	**NOT A 10x CASE**	May still be an excellent compounder or income investment. Size as compounder only. Do not position for 10x growth.

PART III — THE PRICE SCORE (0–100)

Cadence: Check weekly for watchlist names. Only meaningful on Green or Amber Story Score companies.

The Price Score measures how dislocated the current price is from intrinsic and relative value, and whether smart-money behaviour suggests the dislocation is being noticed. A high Price Score on a weak-story company is a value trap, not an opportunity. Never use the Price Score alone.

PILLAR I — VALUATION (35 points)

Two tracks based on growth profile. Use the Growth Track if 3-year forward revenue CAGR >20%. Use the Compounder Track if CAGR <20%. Apply one track consistently — do not mix.

Criterion	Max Pts	Scoring Guidance
1a. Growth Track — EV/Revenue-to-CAGR Ratio (Use when 3yr forward revenue CAGR >20%)	**15**	Divide EV/Revenue by the 3-year forward revenue CAGR expressed as a percentage (e.g. 40% CAGR = 40). This is the PEG equivalent for high-growth companies — it normalises the valuation multiple against the speed of growth generating it. 15 pts — Ratio <1.0: significantly cheap relative to growth. (e.g. EV/Revenue 8x ÷ CAGR 40 = 0.20 ✓) 10 pts — Ratio 1.0–2.0: reasonable for the growth rate. (e.g. EV/Revenue 30x ÷ CAGR 40 = 0.75 ✓) 5 pts — Ratio 2.0–4.0: moderately expensive; growth must accelerate. (e.g. EV/Revenue 60x ÷ CAGR 20 = 3.0) 0 pts — Ratio >4.0: price not supported by growth; requires perfection.
1b. Compounder Track — P/FCF vs. Long-Run Average (Use when 3yr forward revenue CAGR <20%)	**15**	For mature compounders, compare the current P/FCF multiple against the company's own 10-year historical average P/FCF and against the sector median P/FCF. 15 pts — Trading at >25% discount to both its own 10yr average AND the sector median P/FCF. 10 pts — Trading at >15% discount to one of the two benchmarks. 5 pts — Trading near historical average or sector median. 0 pts — Trading at a premium to both benchmarks.
2. Gross Profit Yield (EV ÷ Gross Profit)	**10**	For pre-profit or investment-phase companies, gross profit is a

		cleaner measure of economic value than revenue alone. This metric normalises valuation across different cost structures and investment phases, and works across sectors. 10 pts — EV/Gross Profit <10x. 7 pts — EV/Gross Profit 10–20x. 3 pts — EV/Gross Profit 20–40x. 0 pts — EV/Gross Profit >40x.
3a. Asset-Based Valuation Floor	**5**	A market-independent check: what is the business worth based on what it owns, independent of analyst consensus or market sentiment? Identifies deep value before institutional re-rating. For asset-heavy companies (infrastructure, insurance, satellites, financials, Bitcoin treasury): Use Price-to-Book (P/B) or EV/Tangible Assets vs. sector median. 5 pts — P/Book <1.0x: acquiring the business below net asset value. 3 pts — P/Book 1.0–1.5x AND below sector median. 1 pt — P/Book 1.5–2.5x, near sector median. 0 pts — P/Book >2.5x or at premium to sector median. For software/data/platform companies (minimal tangible assets): Use EV/Revenue vs. sector median as the fundamental anchor (complements Criterion 2). 5 pts — EV/Revenue in the bottom quartile of sector peers. 3 pts — EV/Revenue below sector median. 1 pt — EV/Revenue at or near sector median. 0 pts — EV/Revenue in the top quartile of sector peers.
3b. Cash as % of Market Cap — Downside Floor	**5**	The most powerful asymmetry protection is cash already on the balance sheet relative to what you are paying for the whole company. A high Cash/MarketCap ratio structurally limits downside: even in a severe adverse scenario, the cash itself represents a floor on

		intrinsic value. Use net corporate cash (operating cash + short-term investments, excluding deposits in regulated banking subsidiaries which are liabilities, not free cash). 5 pts — Net cash >50% of market cap: paying less than 50 cents on the dollar for the operating business after netting out cash. Downside is structurally capped. 3 pts — Net cash 30–50% of market cap: meaningful cash protection; operating business valued at 50–70 cents on the dollar. 1 pt — Net cash 15–30% of market cap: modest but present floor. 0 pts — Net cash <15% of market cap, or net debt: no meaningful downside floor from cash.

PILLAR II — PRICE DISLOCATION (30 points)

Is the price technically dislocated from its recent range? Dislocation on a strong-story name is the core opportunity. The same dislocation on a weak-story name is a warning.

Criterion	Max Pts	Scoring Guidance
4. Price Range Position (52W High + 52W Low Combined)	**15**	A stock can be far from its high due to genuine fundamental deterioration (the market is right) or due to sentiment overshoot (the market is wrong). Adding the 52W Low position answers: has the opportunity already been captured, or is the entry window still open? 15 pts — >40% below 52W high AND within 30% of 52W low: maximum unrecovered dislocation. 12 pts — >40% below 52W high, 30–150% above 52W low: dislocation real, recovery early. 8 pts — >40% below 52W high, >150% above 52W low: dislocation real but recovery is advanced — reassess whether the entry edge remains. 8 pts — 20–40% below 52W high AND within 30% above 52W low: moderate dislocation, fresh. 5 pts — 20–40% below 52W high,

		30–150% above 52W low: moderate, recovery underway. 3 pts — 10–20% below 52W high: limited dislocation regardless of low position. 0 pts — <10% below 52W high: no meaningful dislocation.
5. Price vs. 200-Day Moving Average	**10**	The 200-day moving average represents the market's long-run sentiment anchor for a stock. Trading well below it signals fear-driven selling that is disconnected from fundamentals. 10 pts — >20% below 200DMA: deep fear-driven selling. 7 pts — 10–20% below 200DMA: meaningful technical dislocation. 4 pts — 0–10% below 200DMA: modest dislocation. 0 pts — Above 200DMA: no technical dislocation present.
6. Unexplained Dislocation (vs. Sector, Conditional)	**5**	Has the stock meaningfully underperformed its sector without a corresponding fundamental deterioration? This criterion scores positive ONLY when the analyst can identify a specific non-fundamental cause. If the underperformance is fundamentally explained, score 0. Acceptable non-fundamental causes: sector ETF outflows dragging the stock, forced institutional selling from fund closure or index rebalancing, macro correlation with a sector that does not reflect this company's actual business, one-time event with no recurring impact. Not acceptable: 'I think it will recover' or 'it seems oversold.' 5 pts — Underperforming sector by >20% YTD, Story Score is GREEN/AMBER, AND a specific non-fundamental cause is clearly identified. 3 pts — Underperforming by 10–20% YTD with identifiable non-fundamental cause. 0 pts — Underperformance is fundamentally explained, OR no clear non-fundamental cause can be identified, OR stock is in line

		with / outperforming sector.

PILLAR III — SMART MONEY SIGNALS (20 points)

Are people with material conviction or information acting on it? Follow those who have something real at stake.

Criterion	Max Pts	Scoring Guidance
7. Insider Buying	**10**	Open-market insider purchases — not option exercises or DRIP participation — in the last 90 days. Insiders buy in the open market for only one reason: they believe the stock is worth more than the current price. 10 pts — One or more insiders purchased shares in the open market in the last 90 days. 5 pts — No recent buying but no selling either (neutral — insiders not alarmed). 0 pts — Net insider selling in the open market in the last 90 days.
8. Institutional Ownership Change	**10**	Are institutional investors increasing or decreasing their positions quarter-over-quarter? Accumulation by institutions signals research-backed conviction. 10 pts — Institutional ownership increased QoQ (source: 13F or equivalent local filings). 5 pts — Flat: no meaningful change in aggregate institutional positioning. 0 pts — Institutional ownership decreased QoQ (distribution phase).

PILLAR IV — SENTIMENT EXTREMES (15 points)

When sentiment reaches extremes on a fundamentally strong business, mean-reversion becomes probable. Extreme pessimism on a high-Story-Score name is a buy signal, not a warning.

Criterion	Max Pts	Scoring Guidance
9. Short Interest as % of Float	**8**	High short interest in a fundamentally strong business is a contrarian signal: it represents potential forced-buying (short squeeze) when the thesis proves out, and it is often evidence that the market narrative is running ahead of the fundamental reality in the wrong direction. 8 pts — Short interest >15% of

		float: extreme pessimism concentrated in this name. 5 pts — 10–15% of float: meaningful short position. 2 pts — 5–10% of float: moderate short interest. 0 pts — <5% of float: consensus is already bullish; limited squeeze potential.
10. Analyst Estimate Revision Trend	**7**	Are analyst earnings and revenue estimates being revised upward or downward over the last 90 days? Rising estimates on a falling stock price is the ideal setup — fundamentals are improving while market sentiment remains fearful. This divergence rarely lasts. 7 pts — Net positive revisions: estimates moving up while price is down or flat. 3 pts — Mixed or neutral revisions: no clear directional trend. 0 pts — Net negative revisions: fundamentals also deteriorating alongside price.

Kill Switch

If the stock has risen >50% in the last 3 months, cap the Price Score at 30 regardless of other signals. A recent surge means you are chasing momentum, not buying dislocation. Wait for a proper consolidation before re-scoring.

Price Score Signal Bands

Score Range	Band	Implication
70 – 100	**GREEN**	Strong dislocation + smart money engaged. Act if Story Score is GREEN.
50 – 69	**AMBER**	Conditions improving. Set price alert at −15%. Partial position if Story ≥ AMBER.
30 – 49	**RED**	Neutral. No clear price advantage. Continue monitoring.
0 – 29	**WAIT**	Market is optimistic. No discount available. Be patient.

PART IV — THE DECISION MATRIX

No score acts alone. The Decision Matrix maps the combination of Story and Price scores to a specific, disciplined action. Full conviction requires both scores to be green. Run the 10x Growth Score separately on genuine 10x candidates to validate position sizing — it never upgrades or downgrades the primary action, but a HIGH CONVICTION 10x score confirms full allocation, and a NOT A 10x CASE score constrains sizing on growth-dependent positions.

Primary Matrix — Story Score × Price Score

Story Band	Price Band	Signal	Recommended Action
GREEN (75+)	GREEN (70+)	**CONVICTION BUY**	Full position. Strong story, price dislocated. This is the primary target.
GREEN (75+)	AMBER (50–69)	**WATCHLIST / ALERT**	Add to active watchlist. Set price alert at −15%. Size in partially.
GREEN (75+)	RED (<50)	**LOVE THE STORY, WAIT**	Business is exceptional but price is not yet attractive. Review monthly.
GREEN (75+)	WAIT (<30)	**WAIT**	Great company, expensive price. Do not buy. Revisit if price corrects >20%.
AMBER (50–74)	GREEN (70+)	**SPECULATIVE / SMALL**	Cheap but story has unresolved risks. Small position only. Resolve story first.
AMBER (50–74)	AMBER (50–69)	**MONITOR ONLY**	Interesting on both dimensions but no conviction. Revisit story score first.
AMBER (50–74)	RED / WAIT	**PASS**	Neither story nor price justifies capital. No action.
RED (<50)	Any	**PASS**	Story score too low. Even a deep discount cannot compensate for a weak story.

The 10x Growth Score and Position Sizing

Once the primary action is determined above, the 10x Growth Score provides the conviction layer for growth-oriented positions. It does not change the action — it sizes it.

Primary Action	10x Growth Band	Position Sizing Guidance
CONVICTION BUY	HIGH CONVICTION (80+)	Full intended allocation. All three lenses aligned — Story, Price, and growth case are simultaneously

		exceptional. Maximum conviction scenario.
CONVICTION BUY	STRONG (60–79)	Full position at Amber entry; hold back 20–25% of final allocation for growth confirmation milestone. Let one near-term catalyst confirm before deploying fully.
CONVICTION BUY	EARLY (40–59)	Use the standard two-tranche entry only. Do not size beyond the Conviction Buy allocation on the basis of 10x potential alone — the growth case is not yet validated.
CONVICTION BUY	NOT A 10x CASE (<40)	Size as a compounder or income position, not as a growth bet. Treat the Story × Price signal as the only input — the 10x lens is not applicable here.
WATCHLIST / ALERT	Any band	The 10x score informs how aggressively to pursue when the price trigger fires. HIGH CONVICTION → act immediately at trigger. EARLY or below → treat as monitor only.

PART V — DERIVING YOUR ENTRY PRICE TARGET

The Decision Matrix tells you what action to take. The Entry Price Target tells you at what specific price to execute that action. Run this step only after a CONVICTION BUY or WATCHLIST / ALERT signal has been triggered.

The Two-Tranche Rule

Never build a full position at a single price. The market will frequently offer better entries after an initial signal is triggered. Split every position into two tranches: Tranche 1 (50% of intended allocation) at the initial Price Score GREEN trigger, and Tranche 2 (remaining 50%) at a pre-defined lower target — typically 10–15% below Tranche 1. This discipline removes the psychological pressure of timing precision and ensures you participate in the opportunity while managing downside.

Green / Amber / Avoid Price Bands

For each position, define three price bands based on the current valuation analysis:
GREEN band: the price range at which all three scores (Story, 10x Growth, Price) are simultaneously positive. This is the maximum conviction zone. Deploy Tranche 2 here.
AMBER band: Price Score is AMBER; deploy Tranche 1. Set an alert for the GREEN band.
AVOID zone: Price Score is RED or WAIT; do not add. Reassess if price corrects.

The Exit Framework

Hold until the Story Score changes, not until the price moves. The only valid exit triggers are:
(1) Story Score drops to RED (<50): thesis is broken. Exit immediately.
(2) Story Score drops from GREEN to AMBER: reduce position by 30–50%, monitor for recovery.
(3) 10x Growth Score drops below 60 (from HIGH CONVICTION): re-evaluate growth sizing.
(4) Price Score drops below 30 (WAIT band): the opportunity is now priced in. Take partial profits. Do not exit the full position unless the Story Score has also deteriorated.
Never exit on price alone. Only exit when the reason you bought has changed.

Version Log

Version	Date	Changes
v8.1	April 2026	Five targeted changes to improve asymmetric opportunity detection: (1) Story Criterion 11 → 'Margin Quality & Trajectory': scoring bands updated to explicitly reward improving margin direction, not only current level vs. sector median. A company improving 3+ pts/yr can outscore one stable at a higher but flat level. (2) 10x GX7 'Market Mispricing': weight reduced 10→5 pts to reduce overlap with Price Score dislocation criteria. (3) 10x GX8 → 'Revenue CAGR & Pipeline Signal': split into GX8a (trailing CAGR, 0–5) + GX8b (pipeline evidence, 0–5). Pre-inflection companies with contracted backlog or binding regulatory milestones can score strongly on GX8b even with low trailing CAGR. Total unchanged at 10 pts. (4) 10x GX9 → 'Inflection Catalyst Clarity': expanded 5→10 pts. Forces analyst to name the specific re-rating catalyst, assess timing, and score its binding nature. Scores on: specificity, time horizon, and contractual/regulatory commitment. The most asymmetric investments hinge on this. (5) Price Criterion 3 split into 3a (Asset-Based Floor, 5 pts) + 3b (Cash as % of Market Cap, 5 pts). Explicit scoring of net cash / market cap as asymmetry protection: >50% = 5 pts, 30–50% = 3 pts, 15–30% = 1 pt. Total unchanged at 10 pts.
v8	April 2026	Story Score — Pillar I restructured into two explicit sub-criteria (total unchanged at 25 pts): (A) Moat Quality Today (0–15 pts): scores the structural strength of the competitive barrier as it exists now, with explicit guidance for nascent moats in early-stage

		growth companies. (B) Moat Trajectory (0–10 pts): new sub-criterion scoring whether the moat is compounding automatically, stable, uncertain, or eroding. Rewards growth companies with building moats and appropriately discounts static defensive positions in saturated oligopolies.
v7	April 2026	Price Score — three criteria updated: (1) Criterion 3: 'Price vs. Analyst Consensus' replaced by 'Asset-Based Valuation Floor'. Provides a market-independent fundamental anchor independent of consensus lag. (2) Criterion 4: 'Distance from 52W High' expanded to 'Price Range Position (52W High + Low Combined)'. (3) Criterion 6: 'Relative Underperformance vs. Sector' renamed to 'Unexplained Dislocation'. Now conditional: only scores positive when a specific non-fundamental cause is identified.
v6	Q1 2026	Story Score expanded to 5 pillars (100 pts): added Pillar V — Growth Trajectory (20 pts). 10x Growth Score rescaled to align with new Story pillar maxes. Price Score structure unchanged from v5.
v5	Q4 2025	10x Growth Score introduced as standalone instrument (9 criteria, 100 pts). Decision Matrix updated to include 10x Growth Score position sizing overlay. Kill Switch added to Price Score.
v1–v4	2024–2025	Initial framework builds: Story Score (4 pillars), Price Score (4 pillars). Progressive refinements to scoring guidance and band thresholds based on live portfolio application.